Big 4 Auditors and Indicators of Unwarned Failure Severity

Big 4: Firm and Industry × Year FE

	Severe Restatement	Severe Violation	Passive-Regulatory	Fraud-Related
	(1)	(2)	(3)	(4)
Big 4	0.000	-0.018***	0.000	-0.002
	(0.003)	(0.006)	(0.000)	(0.003)
Observations	70,197	70,197	70,197	70,197

Switch into Big 4

	Severe Restatement	Severe Violation	Passive-Regulatory	Fraud-Related
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.002	-0.017*	-0.001	-0.001
	(0.005)	(0.009)	(0.001)	(0.005)
Observations	63,674	63,674	63,674	63,674
Treated firms	202	202	202	202
Control firms	4,990	4,990	4,990	4,990

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.